

Grid Nexus Fulfilment - Working Capital & Service Guardrails (Internal)

Purpose: Finance is evaluating a FY2025 inventory reduction program to free cash while protecting on-time performance.

Guardrail A (Service): Company-wide fill-rate must remain $\geq 97.0\%$ at each site. Any action that drops below this is non-compliant.

Guardrail B (Cash): Savings must be expressed as annualized carrying-cost reduction (USD), not one-time liquidation proceeds.

Guardrail C (Funding): Discounting must use the external reference rate (SOFR) plus a fixed 175 bps spread. Do not use any stale rate embedded in models.

Decision Archetype: Go/No-Go board decision on whether to approve the inventory program.

Trap: 'Pilot' and 'Noise: obsolete SKU' rows exist in the inventory file and must be excluded from baselines and lever calcs.